



CRR STAYS AT 7.5 PER CENT BECAUSE: A cut would lead to higher capital inflows which would push rupee further. With exports already suffering, RBI does not want a stronger rupee.

FOCUS ON: Reining in inflation at the present level of 3.8 per cent which has been achieved after much efforts. Rates were hiked for this reason only and a cut now would squander away the gains.

OPTION OPEN: In case capital inflows keep increasing despite a status quo on the CRR front, RBI has kept the option of hiking the ratio further instead of cutting it now and repenting later.

environment. However, the central bank has kept the option of increasing the cash reserve ratio (CRR) at a later date in case US Federal Reserve's rate cut results in higher inflows. As Finance Minister P Chidambaram has put it aptly, "the cat can jump either way". However, Munot believes that RBI has kept the option open because if capital flows pick up due to aggressive Fed easing and RBI has to hike CRR, it would be very inappropriate to decrease rates (price of money) now and then decrease the quantity of money later. "It is prudent for the central bank to keep the armoury intact rather than shoot in the dark."

While the larger good of the economy is in keeping the three key factors in order, there is no doubt that industrial activity has slowed down with slower demand for consumer goods due to high interest rates. This slowdown has also impacted employment in the country if anecdotal evidence is to be believed. While Reddy has not done anything to improve the delivery of credit to these sectors, it's evident that selective measures will be taken for the same. So employment intensive industries can expect some incentives soon.

While RBI has factored in all the uncertainties, it has perhaps not factored

WORRYING SIGNS

- Non-food credit growth slowed down to 11.8 per cent between April '07-Jan '08 against 17.5 per cent last year
- Industrial activity dipped to 9.2 per cent during April-Nov '07
- Reserve money, comprising currency in circulation and bank deposits with the Reserve Bank, has gone up by 18.2 per cent
- Prices of primary articles have risen 3.9 per cent compared to 9.5 per cent increase last year
- High forex inflows of \$40 billion have pushed liquidity up
- GDP forecast for '07-08 has been lowered to 8.5 per cent from the 9.4 per cent recorded last year
- The demand for consumer goods has slowed down due to high interest rates
- Buyers of new houses and vehicles have had to pay high EMIs due to high interest rates
- Slower industrial activity has led to a decrease in employment in the country

in the wide differential between domestic and global interest rates. Siddhartha Roy, economic adviser to Tata group, believes that the differential in the interest rates can lead to arbitrage and may even result in the rupee appreciating further. However, the only silver lining is that compared to the fourth quarters of previous years, interest rates this quarter have remained stable due to comfortable liquidity in the system.

Evidently, RBI may appear to have done nothing directly to counter any of the threats facing the Indian economy but Reddy's stance on the quality of capital inflows and liquidity is enough to indicate that some more belt tightening is round the corner. This could be done through the regulatory route similar to the one adopted by the Securities and Exchange Board of India on participatory notes as Indian exports can ill afford to have the rupee strengthening any further. ■